Types of Utility

Form utility

If the physical form of a commodity is changed, its utility may increase.

Eg. The demand and uses of cotton increases, if it is converted into clothes.



Cotton



Cloth

Place utility

If a commodity is transported from one place to another, its utility may increase.

Eg. If rice is transported from Tamil Nadu to Kerala, its utility will be more.



Transportation

Time utility

If the commodity is stored for future usage, its utility may increase.

Eg. If agricultural commodities are used by the consumers throughout the year like Paddy, Wheat, etc., are stored for future use its utility increases.



Warehouse



Indian Economy is a Mixed Economy. Private and Public Sectors co-exist.

Types of Production

There are three types of production. They are

1. Primary production
2. Secondary production
3. Tertiary production

1. Primary Production

Primary production refers to the state of activity in which natural resources are directly used. Since agriculture is given prime importance, it is also referred to as agricultural sector production.

Agriculture, forestry, fishing, mining and oil extraction are examples of primary sector.

2. Secondary Production

The process of manufacturing products by using primary products as raw materials is known as secondary level production. Since industries are given prime importance, it is also referred to as industrial sector production.

Primary sector and Secondary sector Production

Cotton (Primary sector) – Cotton Industry (Secondary Sector) = Cloth Production

Iron ore (Primary sector) – Iron Industry (Secondary sector) = Material Production



Agriculture



Forestry



Mining

7th_SS_Economics_Unit_1.indd 188 23-01-2025 12.12.29 PM